The Indian Income Tax Act, 1961, was promulgated to tax personal incomes, corporate incomes and certain wealth-related incomes. This Act continues to remain in force today although there have been attempts to replace it by an Income Tax Code twice between 2010 and 2020.

Kaldor Proposed a Basic Overhaul of the System in the 1950s

American economist Nicholas Kaldor proposed a basic restructuring of income taxation in India in 1950s. Arguing that the system in force taxed savings, he proposed an expenditure tax-based system that spared savings from tax. As the prevalent system taxed entire income irrespective of it being spent on consumption or retained for savings, he argued that the system discouraged savings and consequently investment. He proposed that income tax should not be levied on entire income but only on the income spent on consumption.

The government accepted his proposals in principle but transformed the same materially while enacting the Expenditure Tax Act in 1957. Kaldor had suggested that expenditure tax be levied on all income taxpayers but the highest income tax slab be reduced from the 80 per cent then prevalent to 45 per cent. In addition, there was a super-tax in vogue those days, which he proposed to be abolished as well.

His proposals would have had the effect of transforming the tax on income at higher income slabs (including super-tax that higher income slabs attracted) from income tax to an expenditure tax. And in case the assessee spent less than the income that attracted tax at a higher rate (i.e., in case expenditure was lesser than the income in the concerned tax slabs), his actual incidence of tax would have come down (as expenditure tax would be lesser than the income tax and super-tax otherwise payable on such income).

The government, instead, chose a different structure. It did not change the higher rates of income tax. It also retained the super-tax by and large